

COURSE TITLE : WORKING CAPITAL MANAGEMENT
COURSE CODE : 5257
SEMESTER : 5
COURSE CATEGORY : E
PERIODS/WEEK : 4
PERIODS/SEMESTER : 52
CREDITS : 4

TIME SCHEDULE

MODULE	TOPICS	PERIODS
1	INTRODUCTION TO WORKING CAPITAL MANAGEMENT	13
2	FINANCIAL ANALYSIS	13
3	FUND FLOW ANALYSIS	13
4	CASH FLOW ANALYSIS	13

Course General Outcomes:

Sl.	G.O	On completion of this course the student will be able :
1	1	To understand the concept of working capital
2	1	To Understand the importance and uses of financial analysis
3	1	To Understand the tools used for fund flow analysis
4	1	To Understand the tools used for cash flow analysis

SPECIFIC OUTCOMES

1.1.0 Know the meaning of working capital

- 1.1.1. State the concept of working capital
- 1.1.2. Explain the need for working capital
- 1.1.3. Explain the types of working capital
- 1.1.4. State the factors affecting working capital

1.2.0 Explain the sources of working capital

- 1.2.1 Identify the sources of working capital
- 1.2.2 State the features of trade creditors as a source of working capital
- 1.2.3 Explain the advantages of trade creditors
- 1.2.4 Explain the disadvantages of trade creditors
- 1.2.5 Explain the features of bank overdraft as a source
- 1.2.6 State the advantages of bank overdraft
- 1.2.7 State the disadvantages of bank overdraft
- 1.2.8 Explain the features of discounting of bills of exchange

1.3.0 Explain the operating cycle

- 1.3.1 Draw the operating cycle
- 1.3.2 Explain the conservative approach to working capital

- 1.3.3 Explain the hedging approach
- 1.3.4 Explain the tradeoff between conservative approach and hedging approach
- 2.1.0 Know the meaning of financial analysis**
 - 2.1.1 State the importance of financial analysis
 - 2.1.2 Identify the users of financial analysis
 - 2.1.3 Explain the role of financial analyst in working capital management
 - 2.1.4 Identify the tools used for financial analysis
 - 2.1.5 Explain comparative financial statement
 - 2.1.6 Explain common size financial statement
 - 2.1.7 Explain trend percentages
- 2.2.0 Know the meaning of Ratio analysis**
 - 2.2.1 State the merits of ratio analysis
 - 2.2.2 State the demerits of ratio analysis
- 2.3.0 Explain the different types of ratios**
 - 2.3.1 State the profitability ratios
 - 2.3.2 State the Turn over ratios
 - 2.3.3 State the financial ratios
 - 2.3.4 Explain liquidity ratios
 - 2.3.5 Explain stability ratios
- 3.1.0 Understand the techniques of fund flow analysis**
 - 3.1.1 Explain the importance of fund flow statement
 - 3.1.2 Identify the difference between fund flow statement and earning statement
- 3.2.0 know how to prepare fund flow statement**
 - 3.2.1 Define the term ' fund '
 - 3.2.2 Identify fund from operation
 - 3.2.3 Understand the Calculation of fund from operation from given accounting profit
 - 3.2.4 Identify the significance of depreciation
- 3.3.0 know fund flow statement**
 - 3.3.1 Identify the sources of funds.
 - 3.3.2 Explain the effects of sale of fixed assets
 - 3.3.3 Identify the application of funds
 - 3.3.4 Explain how to ascertain application of funds
- 3.4.0 Know the statement of changes in working capital**
 - 3.4.1 Identify the changes in current assets
 - 3.4.2 Identify the changes in current liabilities
 - 3.4.3 Explain how to ascertain net changes in working capital
- 4.1.0 Understand the techniques of cash flow analysis**
 - 4.1.1 Identify the significance of cash flow analysis in working capital management
 - 4.1.2 Distinguish between cash flow statement and earnings statement
 - 4.1.3 Distinguish between cash flow statement and fund flow statement
 - 4.1.4 State the merits of cash flow statement
 - 4.1.5 State the demerits of cash flow statement
- 4.2.0 Understand the preparation of cash flow statement**
 - 4.2.1 Identify cash from operation

- 4.2.2 Identify cash lost during operation
- 4.2.3 Explain how to ascertain cash from operation
- 4.2.4 Identify the sources of cash
- 4.2.5 Identify the application of cash

CONTENT DETAILS

Module – I Meaning of Working capital management-Concepts-Need for working capital-Types-Factors affecting working capital-Sources-Trade creditors-Bank overdraft-Discounting of bills of exchange- Operating cycle- Conservative approach to working capital-Hedging approach-Trade off between conservative and hedging approach.

Module -II Meaning of Financial analysis-Importance-Users of financial analysis-Role of financial analyst-Tools for financial analysis- Ratio analysis-Merits-Demerits-Types of ratios-Profitability ratios-Turn over ratios -Financial ratios-Liquidity and stability ratios..

Module – III Fund flow analysis-Importance-Difference between fund flow statement and earnings statement-fund-fund from operation-significance of Depreciation-Sources of fund-Effect of sale of fixed assets-Application of funds-Statement of changes in working capital-

Module – IV Cash flow analysis-significance –Difference between cash flow statement and earning statement-difference between cash flow statement and fund flow statement-Merits-Demerits-Cash from operation-cash lost during operation-Sources of cash-Application of cash

BOOKS RECOMMENDED

1. I.M.Pandy, Financial Management—Vikas Publications
2. Sathish.B.Mathur, Working capital Management and control—New Age International